

cadence. In so doing, the investor may buy at the peak but will also be buying all the way to the bottom, ultimately averaging a good price if the underlying investment has long-term potential for capital appreciation.

VOLATILITY

While absolute returns are often the topic of trending conversation, if unaccompanied by an investigation of volatility, investors may be overpaying in risk for their returns. Put another way, they may be undercompensated for the risk they're taking. In this sense, innovative investors must make sure they're being rewarded for the risk in their portfolio.

WHY CRYPTOASSETS ARE TYPICALLY VOLATILE WHEN FIRST LAUNCHED

Upon launch, cryptoassets tend to be extremely volatile because they are thinly traded markets. A thin market refers to the size of the order book, and an order book refers to the list of buys and sells on an exchange. In other words, it's a measure of the number of people wanting to buy and sell at any given moment. [Figure 7.9](#) is an image of an order book for Ethereum (ether) on Poloniex, a widely used cryptoasset exchange.